

Emirates Central Cooling Systems Corporation PJSC (DFM: EMPOWER)

The world's largest listed district-cooling utility — contracted chilled-water capacity serving Dubai under a regulated-tariff regime · Dubai Financial Market · reporting currency AED · analysis anchored on the closing price of 1.57 on 7 August 2026 · study dated 9 August 2026, revised 17 August 2026.

READ FIRST — what this document is. An educational valuation study. It contains no recommendation and no rating, and it expresses no single-number target. It contains a fair-value range built from the company's own audited financial statements, a sourced cost of capital and explicitly listed assumptions — and, separately, a probabilistic map of where the share price could trade over the next one and three months. The two are different objects and are never blended.

Revised 17 August 2026 following an external audit. The changes and their prices are catalogued in the accompanying critique-response note (77 findings, each answered). The re-check also surfaced two corrections of this study's own making, disclosed openly: the first edition's FY2025 statement face carried administrative expenses of 246.6 and other income of 14.6 where the audited figures are 256.4 and 24.4 — both pairs close the operating-profit identity to the dirham, which is why the arithmetic cross-check could not catch the mis-split — and rental income earned on the investment properties was counted in operating cash flow while the properties were also added in the valuation bridge; it is now excluded from operating earnings.

Conventions of this revision. The valuation clock sits at 30 June 2026: 2026 contributes only its second half, discounted at half a year, with later year-ends at one-and-a-half to four-and-a-half years. Operating EBITDA excludes the interest earned on the related-party acquisition receivables and the rental income on the investment properties; both assets enter the bridge at book value instead. The terminal value runs in two stages — ten years of volume-only growth, then a lower perpetuity.

The first structural judgement — the consumption question, framed twice. Chilled-water consumption per connected refrigeration ton fell sharply in the first half of 2026, in a conflict year, and the shares fell with it. Whether usage recovers is computed BOTH ways as full models — a recovery (de-escalation) case and a continuation case in which the world stays as it stood at the anchor date — and NEITHER is privileged as the base: the two are published side by side, exactly like the tax framings. The quantitative finding survives either way: because roughly 76% of consumption revenue is electricity and water purchased from DEWA and passed through, permanent loss of the usage shock moves the discounted-cash-flow value by only 2.8% — far less than the share-price reaction implies. The capacity charge, not the meter, carries the value.

The second structural judgement — the tax rate, framed twice. The audited 2025 effective tax rate is exactly 9.0% under UAE corporate tax. Whether the 15% domestic minimum top-up tax reaches Empower through consolidation into the DEWA group (whose revenue far exceeds the EUR 750m threshold) is contested and unresolved. The entire valuation is therefore published both ways — 2.134 against 1.976 on the primary lens; weighted centrals of 1.85 against 1.74 in the recovery case and 1.82 against 1.71 in the continuation case — side by side, never averaged.

What to check first. Section 1.7 (the consumption grid), the two tax columns of the valuation summary below, and section 1.8's cost-of-debt evidence and cost-of-capital constructions — the places where a reader who disagrees with this study will find the disagreement priced.

The companion workbook. The Excel model calculates live — changing a driver reprices the statements, the discounted cash flow and the fair value. Only three classes of cell are pasted values, named on its own READ FIRST sheet: the audited and disclosed history; the historical calibration of the unit build (the implied capacity rate per refrigeration ton, a research judgement rather than an arithmetic step); and whole-model re-runs — the probabilistic price map and the sensitivity grids, where each cell is a complete revaluation.

Headline

Empower is the world's largest district-cooling utility by connected capacity: 1,707k refrigeration tons (RT) connected and 2,018k RT contracted at 30 June 2026, serving about 1,796 buildings — roughly 80% of Dubai's district-cooling market by the company's own 2022 listing-era disclosure, not restated since. It sells cooling on two legs priced under a regulated tariff: a contracted CAPACITY (demand) charge, paid on connected tons regardless of usage, and a metered CONSUMPTION charge for chilled water actually drawn. The distinction is the whole study: the capacity leg is the fixed-cost recovery and, effectively, the profit pool, while the consumption leg's dominant cost — electricity and water purchased from DEWA, AED 1,468mn in 2025, about 76% of consumption revenue — is largely a pass-through.

The financial character is a regulated utility's: the EBITDA margin has held between 47.6% and 50.5% in every audited year since 2021 (derived as audited operating profit plus depreciation and amortisation; the company's own reported EBITDA figures differ slightly in definition), revenue compounded from AED 2,464mn (2021) to 3,419mn (2025), and net profit reached AED 1,004mn in 2025. Net debt was AED 2,991mn at 30 June 2026 (1.8× 2025 EBITDA) after the 2025 refinancing into two AED 2.75bn revolving tranches at a reduced margin — of which one has since been extended to February 2028 while the other still matures September 2027. The dividend is committed at AED 875mn a year for 2025 and 2026 — 0.087 per share, a 5.6% yield at the anchor price — and free cash flow to equity runs almost exactly at the payout: covered, but not slack.

2026 is the conflict year, and the facts as they stood at the anchor date are stated plainly. Iran struck the Fujairah oil-industry zone on 4 May and clashed with US forces in the Strait of Hormuz over the following days; the truce brokered in the spring was declared over on 8 July — a month before this study's anchor; the strait itself was closed from 11 July, under a US naval blockade from 14 July, and REMAINED CLOSED at the 7 August anchor; an ADNOC tanker was attacked at sea the day after the anchor. No strike on UAE soil has been recorded since 8 July. The Dubai market index fell 21.9% peak to trough (closing basis: 6,774 on 2026-02-09 to 5,289 on 2026-03-16) and the central bank cut its 2026 GDP growth projection from 5.6% to 1.7% — while projecting a 9.8% rebound in 2027 and calling the slowdown a temporary moderation; both legs of that forecast are cited wherever the cut is. Empower's first half showed the transmission mechanism: revenue grew +4.5%, but the second quarter standalone FELL 2.7% year on year as consumption dropped 42m ton-hours (equivalent full-load hours - 9% to 698 hours), tied by the interim notes mainly to lower hospitality activity — the company's own attribution; weather was a minor factor. Yet the shock half produced record profits: profit before tax of AED 514.0mn (+16.2%), net profit of 468mn (+16.2%) and EBITDA of 773mn (+7.5%) as presented — which SUPPORTS the pass-through arithmetic at the heart of this study. The shares closed the anchor session at 1.57, 23% below their 52-week high of 1.96, the last leg of the fall running from 1.60 on 4 August to 1.50 on 7 August around the half-year results (statements dated 5 August, released and covered 5–6 August).

On the four lenses used here the fair-value field carries TWO centrals, published side by side like the tax framings, because the macro condition dividing them had not resolved at the anchor: a recovery (de-escalation) case at AED 1.85 per share under the 9% tax framing (1.74 at 15%) — a case that requires a de-escalation which had NOT occurred at the anchor date — and a continuation case, describing the world as it stood on the published facts, at 1.82 (1.71). The scenario field runs 1.463 to 2.172 bear to bull, against a market price of 1.57. One disclosed transaction brackets the question from above: DEWA took its stake from 56% to 80% in February 2026 by buying Dubai Holding's 24% at AED 2.16 per share — a related-party CONTROL price, +38% above the anchor close, recorded here as a reference point and never as fair value.

As of this 17 August revision — a dated postscript. ADNOC vessels were attacked passing the strait on 12 and 14 August; an Iran-Oman agreement to reopen the strait was announced on 17 August but had not been implemented; and the formal ceasefire ended on 17 August as the 60-day negotiation deadline passed. None of this is in the numbers: the valuation remains anchored on the 7 August close and the facts as of that date, and the recovery/continuation framing above is how a reader should carry the news flow into it.

Valuation summary — every read at a glance, both tax framings side by side

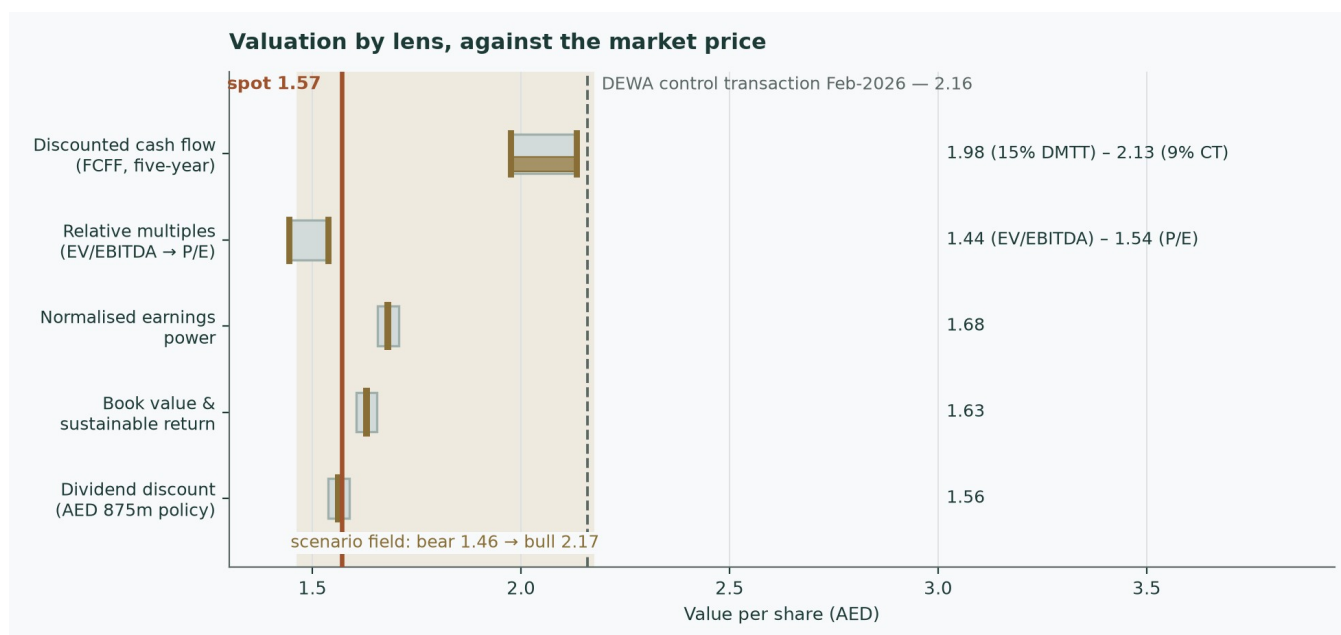


Figure 1 — the valuation field: each lens's range, both tax framings of both central estimates, the market price of 1.57 and the DEWA control print of 2.16.

Read	Basis	At 9% tax	At 15% tax	vs spot
Discounted cash flow (primary)	5-year free cash flow to the firm on the two-leg unit build from a 30-June-2026 valuation clock, cost of capital 7.64%, two-stage terminal (ten years at 2.5% volume-only growth, then 1.5%). Terminal value = 78.3% of enterprise value (78.2% under the 15% framing) — disclosed here, in the bridge and in section 1.9	2.134	1.976	+36%
Relative multiples	Tabreed 10.1× trailing EV/EBITDA on trailing operating EBITDA, like-for-like (gives 1.444); Tabreed 15.0× P/E on 2026E attributable profit (gives 1.537). Peer marks restruct at the anchor (Tabreed 2.46 on 6–7 August). Peers are themselves war-depressed — a market-regime reading, not an independent fundamental	1.444	1.444	-8%
Normalised earnings power	2026E with consumption at the UNSHOCKED per-ton level; forward justified multiple 16.0× from the sustainable return and the cost of equity (15.9× with the return re-taxed at 15%)	1.681	1.560	+7%
Book value and sustainable return	justified price-to-book 4.9× on book value of 0.334/share at a sustainable return on equity of 30.5% (4.5× with the return re-taxed at 15%)	1.630	1.513	+4%
Weighted central — recovery (de-escalation) case	cash flow 50% · relative 20% · normalised 15% · book 15%; requires a de-escalation that had NOT occurred at the anchor date	1.85	1.74	+18%

Weighted central — continuation case	same weights on the consumption-never-recovers build — the world as it stood on the published facts at the anchor; neither central is privileged over the other	1.82	1.71	+16%
Scenario field	bear 1.463 (war re-escalation, usage never recovers, 15% tax, +100bp on the cost of equity) to bull 2.172 (full recovery, 110k RT/yr)	1.463 – 2.172	(bear is struck at this tax rate)	—
Dividend cross-check (unweighted)	the committed AED 875mn growing at 2.5%, capitalised at the cost of equity	1.563	1.563	-0%
Market price	closing price, 7 August 2026	1.57	1.57	—
DEWA control purchase — reference only	February 2026, related-party purchase of a 24% block at a control price; a disclosed reference point, not fair value	2.16	2.16	+38%

Fair values are ranges and distributions, never a target; the centrals are printed to two decimals as summaries of ranges, the field is scenario risk, and construction risk is additional to it — on the primary lens the priced cost-of-capital constructions alone span 2.07 to 2.52 (section 1.8). The two tax columns are one of the study's two central contested judgements published in full: 9% is the audited 2025 effective rate, 15% is the domestic minimum top-up rate that would apply if consolidation into the DEWA group sweeps Empower into the OECD minimum-tax regime; the recovery/continuation pair is the other, framed the same way. Nothing is averaged anywhere in this document. The terminal-value share of enterprise value (78.3%) is stated beside the lens it belongs to because it is the number a sceptical reader should weigh first.

Company overview — Empower at a glance

Item	Detail
Listed	Dubai Financial Market, 15 November 2022, at the tail of the Dubai privatisation programme; par value AED 0.10
What it does	Builds and operates district-cooling plants and distribution networks in Dubai, selling chilled water to towers, malls, hotels and districts under long-term connection agreements; also manufactures pre-insulated pipes (Logstor) and operates the Dubai airport cooling concession through a 85%-owned subsidiary (DXB CoolCo — per the audited filings, an exclusive 35-year concession running from 5 July 2023, acquired in 2023 with the seller retaining the 15% minority; inside the connected base)
Scale	1,707k RT connected / 2,018k RT contracted at 30 June 2026 (+3.1% connected in the half); about 1,796 buildings; roughly 80% of the Dubai district-cooling market (the company's 2022 listing-era disclosure, not restated since)
Revenue model	Two legs on one asset base: capacity (demand) charges, contracted and paid on connected tons regardless of usage — about 40% of first-half 2026 revenue per the earnings deck — and metered consumption charges, about 49%, with connection and other fees the remaining 11%. The split of the two legs in AED is not separately disclosed in the statements; consumption revenue is disclosed in the auditor's key-audit-matter section each year and the split is reconstructed from it (section 1.6)
Regulation	Dubai Executive Council Resolution 6/2021 governs district cooling. The Regulatory and Supervisory Bureau ASSESSES tariff submissions and RECOMMENDS; approval rests with the Dubai Supreme Council of Energy. The bureau's tariff instrument (version 1.3, September 2025; 1.4, February 2026) sets explicit caps — 0.643 AED per ton-hour for consumption with capacity, fuel surcharge included (0.075 for the surcharge itself), an AED 30/month billing fee, an excess-demand fee capped at 120% of the capacity tariff — and states verbatim that tariff arrangements including indexation or escalation of capacity charges will not be approved. A November 2025 resolution adds an annual service fee of AED 1.55 per refrigeration ton (about AED 2.6mn a year on the connected base, roughly 0.005/share capitalised — immaterial, and expensed in these words) and an AED 100,000 fine for charging unapproved tariffs. This study holds the tariff FLAT in nominal AED throughout — which the no-indexation rule turns from a conservative choice into a regulatory constraint, while also removing any tariff-escalation upside: terminal growth must be volume-only
Ownership	DEWA 80% since February 2026 (it bought Dubai Holding's 24% at AED 2.16 per share); free float about 20%. DEWA is simultaneously the controlling shareholder and the sole supplier of the largest cost line — a governance concentration discussed in section 7

Shares / market value	10,000mn shares; AED 15,700mn at the anchor price of 1.57
Net debt	AED 2,991mn at 30 June 2026 (1.8× 2025 EBITDA): two AED 2.75bn revolving credit tranches refinanced in 2025 at a reduced margin over EIBOR — one since extended to February 2028, the other still maturing September 2027 — less cash and term deposits
Dividend	AED 875mn a year committed for 2025 AND 2026, paid in two instalments (October and April) — 0.087 per share, 5.6% at the anchor price
Tax status	UAE corporate tax at 9%; the 2025 audited effective rate is exactly 9.0%. Whether the 15% domestic minimum top-up tax reaches Empower through DEWA-group consolidation is contested — the study's dual-framed judgement

Two structural facts govern everything that follows. First, the two-leg tariff means the profit pool sits in the contracted capacity charge: consumption revenue carries a 76% pass-through cost, so a swing in usage moves revenue far more than it moves cash flow. Second, the balance sheet runs on other people's working capital: customer deposits and long payment terms to a related-party supplier hold net working capital **NEGATIVE** at about 51% of revenue — growth here releases cash rather than consuming it, the mirror image of most utilities' build-out phase.

1 Fundamental valuation

1.1 The cash-flow model — the primary lens, with the full waterfall

The primary lens is a five-year free-cash-flow-to-the-firm model built from physical units, not from a revenue growth rate: connected refrigeration tons × the capacity rate, plus consumption per connected ton × the connected base, plus the small pipes line — each leg on its own driver, with margins falling out as **OUTPUTS** (section 1.6 shows the build and its exact reconciliation to the audited 2025 statements). The valuation clock sits at 30 June 2026: 2026 contributes only its second half, discounted at half a year, with later year-ends at one-and-a-half to four-and-a-half years and the terminal at four-and-a-half — the alternative convention of discounting the full 2026 year against the June balance sheet would have counted the roughly AED 200mn of cash generated in the first half twice. The waterfall below runs the recovery case at the 9% audited tax rate; the 15% minimum-tax framing follows it, in full, immediately after, and the continuation case is a full parallel model in section 1.7.

AED mn	FY26	FY27	FY28	FY29	FY30
Revenue	3,503	3,842	4,042	4,222	4,380
of which consumption	1,918	2,163	2,276	2,378	2,467
of which capacity and other	1,568	1,662	1,749	1,827	1,896
of which pre-insulated pipes	17	17	17	17	17
Operating EBITDA	1,628	1,769	1,873	1,964	2,042
Operating EBITDA margin	46.5%	46.1%	46.3%	46.5%	46.6%
Less depreciation and amortisation	(380)	(390)	(399)	(405)	(408)
EBIT	1,248	1,379	1,473	1,558	1,634
NOPAT — EBIT × (1 – 9%)	1,135	1,255	1,341	1,418	1,487
Add back depreciation and amortisation	380	390	399	405	408
Less capital expenditure	(571)	(548)	(501)	(453)	(404)
Add working-capital release	43	174	103	92	81
Free cash flow to the firm (full-year rate)	987	1,271	1,342	1,463	1,572
Share of the year inside the	50%	100%	100%	100%	100%

valuation window					
Discount factor	0.9639	0.8955	0.8320	0.7729	0.7181
Present value of FCFF	476	1,138	1,117	1,131	1,129

Every line is computed, not typed. The three revenue rows foot to the total. Operating EBITDA excludes the interest earned on the related-party acquisition receivables and the rental income on the investment properties — both assets are added at book in the bridge instead, so nothing is counted twice. Working capital is NEGATIVE for this company — customer deposits and payables fund the cycle — so growth RELEASES cash: the working-capital line adds to free cash flow every year, at the audited 2025 ratio of -51.4% of revenue. Capital expenditure is priced per new refrigeration ton (AED 4,889 per RT added, derived from the 2025 cash figures) plus a maintenance allowance on the installed base. FY2026 enters at half weight — the 30-June clock above.

AED mn — the same model at the 15% minimum tax	FY26	FY27	FY28	FY29	FY30
NOPAT — EBIT × (1 – 15%)	1,061	1,172	1,252	1,325	1,389
Free cash flow to the firm	912	1,188	1,254	1,369	1,474
Present value of FCFF	440	1,064	1,043	1,058	1,059

The bridge from enterprise value to the equity — both framings

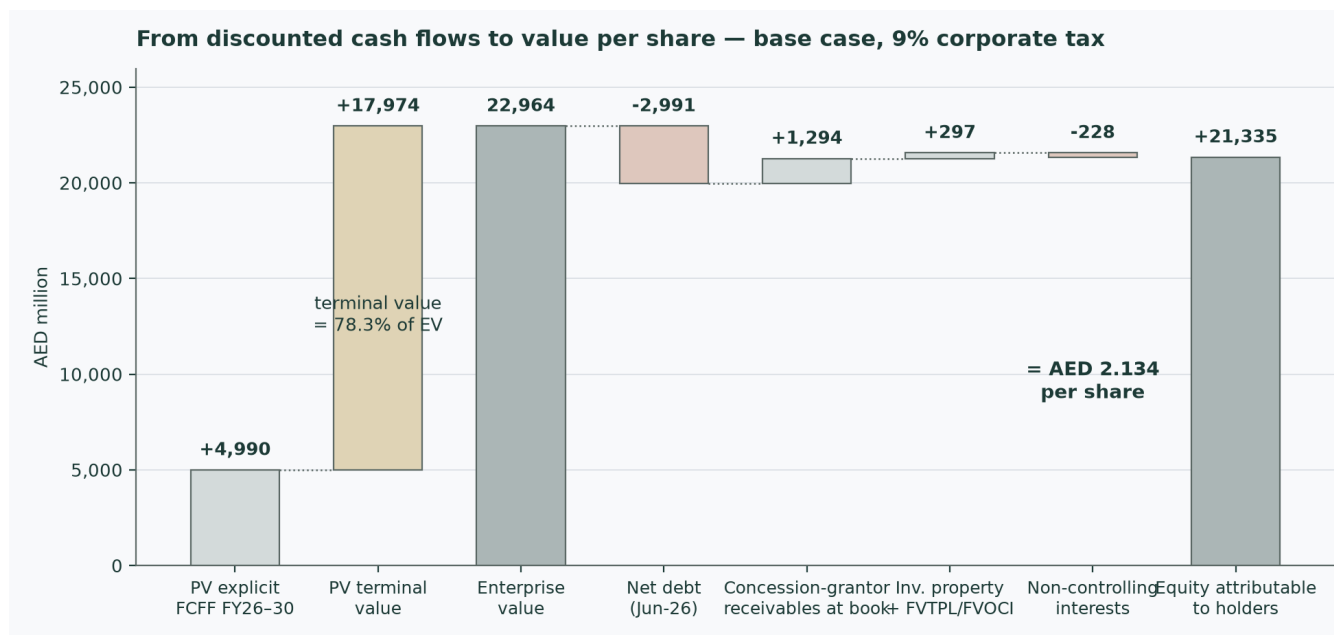


Figure 2 — from the discounted cash flows to the per-share value, both tax framings side by side.

Step	At 9%	At 15%	Note
Present value of the five forecast years	4,990	4,664	sum of the present-value rows above (2026 at half weight — the 30-June clock)
Terminal value (two-stage)	25,030	23,264	stage one: ten further years of ordinary cash flow growing at 2.5% — volume-only under the regulator's no-indexation rule; stage two: a perpetuity at 1.5%. In BOTH stages the cash flow is profit after tax, plus the book depreciation charge, less what replacing the plant costs at today's prices over the 28.1-year life the depreciation notes imply, less the capital growth consumes, less inflation on working capital — which is a CREDIT here, because this company is funded by its own customers
Present value of the terminal value	17,974	16,706	discounted at the year-4.5 factor

Enterprise value	22,964	21,370	the two lines above
Terminal value as a share of enterprise value	78.3%	78.2%	high, as it must be for a regulated utility whose explicit window is only five years; disclosed here, in the summary table, and stress-tested in section 1.9. Expert 3 challenges it directly in Appendix C
Less net debt	(2,991)	(2,991)	30 June 2026 reviewed balance sheet: borrowings and leases less cash and term deposits — reproduces the company's own presented figure exactly
Plus related-party acquisition receivables, at book	1,294	1,294	the concession-grantor financial asset (Dubai Aviation City, on the DXB CoolCo acquisition) and the Nakheel minimum-demand commitment (Empower Snow). Their interest is excluded from operating earnings, the asset enters here at book, and it is excluded from terminal invested capital — counted once, cleanly
Plus investment properties	169	169	non-operating side pocket, at book; its depreciation AND its rental income are excluded from the operating model for the same once-only reason
Plus financial assets held at fair value	128	128	cash-like holdings outside the operating model, at book
Less minority interests (1.1% of profits)	(228)	(212)	minorities (the 15% of DXB CoolCo, and others) take 1.1% of group profit and are charged the same share of the value — the internally consistent convention when the group is valued above book
Equity attributable	21,335	19,758	
Fair value per share (AED)	2.134	1.976	against a spot of 1.57: +36% and +26% respectively

Bridge and cash-flow clock BOTH sit at 30 June 2026: the June balance sheet nets against cash flows that begin in July, so nothing inside the first half of 2026 is counted twice (the first edition's full-year convention double-counted roughly AED 200mn of first-half cash — corrected). The difference between the two columns — AED 0.158 per share, 7.4% of the 9% value — is the entire price of the tax question, and it is left visible rather than averaged away.

1.2 Book value and sustainable return — the asset lens

Book value attributable to shareholders is AED 3,338mn at 30 June 2026, or 0.334 per share — the share trades at 4.7× book. That multiple is not the anomaly it appears: the equity base is small because the assets are largely debt- and customer-deposit-funded and the company has distributed heavily since listing, so the sustainable return on equity is high — 30.5% on the average of the last two year-end equity bases. A justified price-to-book multiple, (return on equity – growth) ÷ (cost of equity – growth), gives 4.9× book at the 8.24% cost of equity and 2.5% growth — AED 1.630 per share. The lens is framed under both tax columns like every other: with the sustainable return re-taxed at 15%, the justified multiple is 4.5× and the value 1.513 per share.

This is the lens most exposed to its own construction: a high-ROE, low-book business makes the justified multiple acutely sensitive to the return assumption (each percentage point of sustainable ROE is worth roughly AED 0.058 per share). It is retained at a 15% weight because it prices the question the other lenses skip — what the installed asset base earns — but it is read as corroboration, not as a primary estimate.

1.3 Relative multiples — what the market pays for GCC cooling today

Step	Value	Comment
Tabreed enterprise value / EBITDA (trailing, restruck at the anchor)	10.1×	the only listed pure district-cooling peer (Dubai Financial Market); derived from its market value at the 2.46 close

		of 6–7 August (down 9.6% from the 2.72 of 22 June — the peer sold off with the subject, and the multiple is struck on the SAME date as the anchor) plus net debt over its trailing EBITDA, flagged as derived. Tabreed runs much higher leverage, which is why the comparison is made at the enterprise line rather than on price/earnings alone
Applied to Empower trailing operating EBITDA (twelve months to 30 June 2026)	1,584	trailing multiple on trailing earnings — like-for-like periods on both sides
Implied enterprise value	15,998	
Less net debt, plus the side pockets, less minorities	—	the same bridge as section 1.1
Implied value per share — EV/EBITDA basis	1.444	-8% against spot
Tabreed price/earnings 15.0× on 2026E attributable profit of 1,025	1.537	the earnings-basis read; DEWA itself trades near 16.8× as a secondary marker

The cross-relationship is stated from the numbers, not from memory: at the anchor marks Empower's own trailing enterprise multiple is 11.8× against Tabreed's 10.1× — a premium — while on trailing price/earnings Empower stands at 15.8× against Tabreed's 15.0× — a premium. Each half-turn of the enterprise multiple is worth about AED 0.079 per share on this lens.

Read this lens for what it is: a market-regime reading, not an independent fundamental. The peer multiples are themselves struck in a war-discounted market — Tabreed and DEWA fell with the index — so applying them imports the conflict discount rather than testing it. That is exactly why the lens carries 20% weight and why its gap to the cash-flow lens (1.444 against 2.134) is treated in section 4 as information about the market's risk pricing, not as an error in either number.

1.4 Normalised earnings power — the unshocked year

The question this lens asks: what does 2026 earn if the consumption shock had not happened — usage per connected ton at the 2025 level, everything else unchanged? Revenue would be AED 3,625mn (against 3,503mn shocked), EBITDA 1,731mn, and attributable profit 1,051mn — earnings per share of 0.105. Capitalised at a FORWARD justified multiple of 16.0× — built from the sustainable return on equity (30.5%), the retention that 2.5% growth requires, and the 8.24% cost of equity, with no growth factor applied on top (the earnings being capitalised are already forward) — that is AED 1.681 per share. Under the 15% minimum-tax framing the return re-taxes to 28.5%, the justified multiple to 15.9× and the value to 1.560 — both framings, like everywhere else.

The lens deliberately measures the gap between the market's reaction and the earnings arithmetic: the whole shock is worth about AED 122mn of revenue in the year, most of which is passed-through electricity and water cost that disappears with it.

1.5 Synthesis — four lenses, one field, two cases

Lens	At 9%	At 15%	Weight
Discounted cash flow — recovery case	2.134	1.976	50%
Discounted cash flow — continuation case	2.074	1.920	50%
Relative multiples	1.444	1.444	20%
Normalised earnings power	1.681	1.560	15%
Book value and sustainable return	1.630	1.513	15%
Weighted central — recovery (de-escalation)	1.85	1.74	—

Weighted central — continuation	1.82	1.71	—
Dividend cross-check (unweighted)	1.563	1.563	—

The lenses disagree in an orderly way. The cash-flow model sits highest because it credits the contracted growth backlog and the negative-working-capital funding model in full; the relative lens sits lowest because it imports today's war-discounted market regime; the normalised and book lenses sit between. The weighting leans on the cash-flow model because this is a regulated utility with contracted revenue — the class of business a discounted-cash-flow model prices best — and the field runs 1.463 to 2.172 bear to bull. Both tax columns are carried through every row, the recovery and continuation cases are carried through every horizontal cut, and nothing is averaged across either pair. Note how little the case choice moves the central — AED 0.030 per share — which is the pass-through arithmetic of section 1.7 doing its work.

1.6 The drivers — a two-leg unit build, margins as outputs

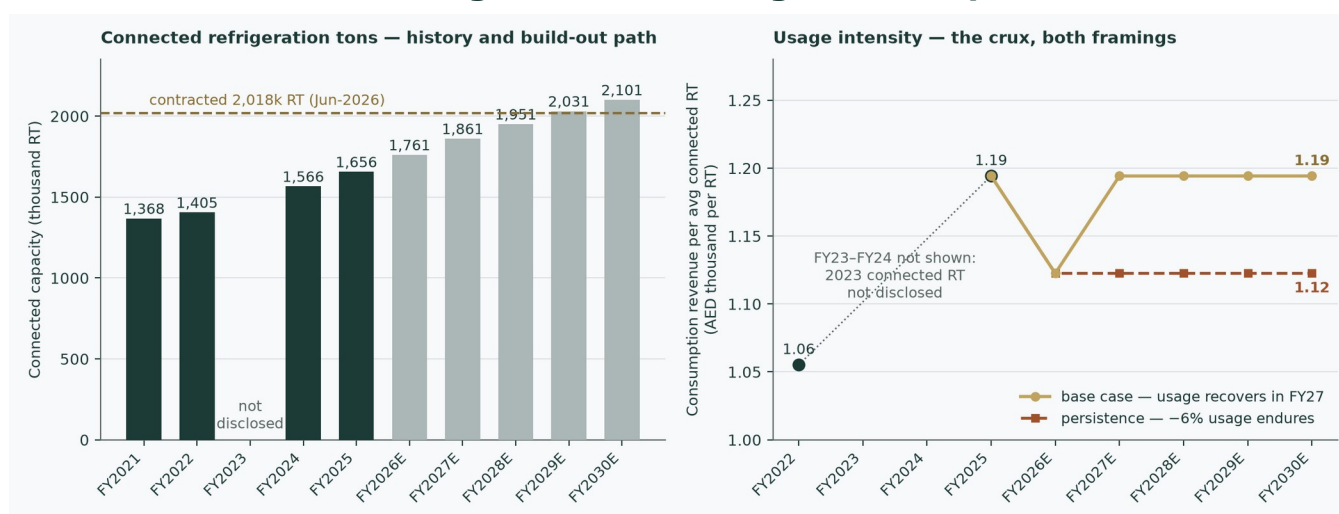


Figure 3 — the unit build: connected capacity, consumption per connected ton and the revenue that falls out of them.

Revenue is built from physical units at the finest level the company disclosures allow. The volume driver is CONNECTED CAPACITY, taken from the company's own history and guidance: 1,656k RT at end-2025, 1,707k at 30 June 2026, company guidance of 100–110k of new connections for 2026 (the model uses the midpoint), and a contracted backlog of 311k RT already signed but not yet connected — a pre-sold pipeline that funds the additions assumed for 2027 onward, tapering as the Dubai build-out matures.

Driver (per year)	FY25	FY26	FY27	FY28	FY29	FY30
Connected capacity, year-end (k RT)	1,656	1,761	1,861	1,951	2,031	2,101
New connections in the year (k RT)	—	105	100	90	80	70
Average connected base (k RT)	—	1,708	1,811	1,906	1,991	2,066
Consumption revenue per average RT (AED/yr)	1,194	1,123	1,194	1,194	1,194	1,194
Capacity and other revenue per average RT (AED/yr)	918	918	918	918	918	918

The capacity rate per ton is IMPLIED, not published — no per-ton tariff schedule is disclosed anywhere in the filings — so it is solved from disclosed total revenue, the disclosed consumption figure in the auditor's key-audit-matter section, and the pipes line, then held flat at the regulated tariff. The consumption rate carries the 6% 2026 shock and recovers to the 2025 level through 2027 in the recovery case — the crux, section 1.7.

One reconciliation the reader should see rather than infer: the audited key-audit-matter figures put 2025 consumption revenue at 56.3% of total revenue, while the H1-2026 earnings deck shows a 49% consumption share for the half — the second half carries the summer cooling peak, so the full-year share always runs above the first-half share. The pass-through ratio used throughout (76.3%) is computed on the audited key-audit-matter basis, not the deck mix.

The physical unit build — hours and dirhams per ton-hour

The consumption leg decomposes to physical units: revenue = connected tons × equivalent full-load hours × the dirham rate per ton-hour. On the disclosed first-half figures the implied rate is 0.634 AED per ton-hour — 1.4% BELOW the regulator's cap of 0.643 (fuel surcharge included). Empower already prices essentially at the regulated cap: there is no tariff headroom, which hardens the flat-tariff assumption and removes any tariff upside at once. In these units the 2025 year ran about 1,883 equivalent full-load hours on the average connected base of 1,611k tons (3,034m ton-hours in all); the first half of 2026 ran 698 hours, -9% year on year. The crux of section 1.7, restated in hours: the shock year runs about 6% fewer hours; the recovery case restores the ~1,883-hour year; the continuation case never does.

The cost stack is escalated one class at a time, never on a single blended index. Electricity and water purchased from DEWA — AED 1,468mn in 2025, 76.3% of consumption revenue and 43% of total revenue — moves with its own physical driver, the consumption leg itself (DEWA's slab tariff is flat; its fuel surcharge floats monthly). Staff and other cash operating costs (AED 408mn in 2025 across cost of sales and administration) escalate on a UAE wage path of 2.5% a year. Interest earned on the related-party acquisition receivables and rental income on the investment properties are EXCLUDED from operating EBITDA — they are returns on assets the bridge adds at book, so counting them in the cash flows too would price them twice. The 2025 identity is exact: operating EBITDA of AED 1,549.7mn, plus receivable interest of 58.3, rental income of 18.1 and the credit-loss reversal of 16.1, reproduces the audited-derived 1,642.2 (operating profit plus depreciation and amortisation) to the decimal before any forecast year is struck.

What the build produces	FY26	FY27	FY28	FY29	FY30
Revenue (AED mn)	3,503	3,842	4,042	4,222	4,380
Operating EBITDA (AED mn)	1,628	1,769	1,873	1,964	2,042
Operating EBITDA margin — an OUTPUT	46.5%	46.1%	46.3%	46.5%	46.6%
Capital expenditure (AED mn)	571	548	501	453	404
Working capital released (AED mn)	43	174	103	92	81

The margin path is not assumed: it emerges from the two-leg mix — and it moves the opposite way to the market's instinct. The margin RISES in the shock year (from 45.3% in 2025 to 46.5%) because the revenue lost is mostly pass-through electricity and water cost that disappears with it; the dip is 2027 (46.1%), when the recovering consumption leg brings its pass-through cost back. The audited 2021–25 band of 47.6–50.5% is on the broader audited-derived basis (operating profit plus depreciation and amortisation, receivable interest and rental included), so the two series are stated on their own bases rather than mixed.

A run-rate check against the half just reported: the 2026 build, on the company's own EBITDA definition, implies a second half of AED 929mn against 930mn in the second half of 2025 — -0.1% year on year, conservative against the +7.5% the first half actually printed.

1.7 The crux — does consumption per connected ton recover?

Usage per connected ton fell 6% in 2026 on the model's full-year reading of the disclosed half-year figures (equivalent full-load hours were -9% in the half itself). The recovery case lets it return to the 2025 level through 2027 — a case that requires the de-escalation which had NOT occurred at the anchor date. The continuation case is computed as a FULL model, not a sensitivity: the world as it stood on the published facts, usage never recovering. Neither case

is privileged as the base; they are published side by side, exactly like the tax framings. The grid below prices every stop between.

Consumption per connected ton, from 2027	Implied AED per RT	Fair value at 9%	vs recovery
90% of the 2025 level	1,075	2.035	-4.6%
94% of the 2025 level — the continuation case	1,123	2.074	-2.8%
97% of the 2025 level	1,158	2.104	-1.4%
100% of the 2025 level — the recovery case	1,194	2.134	+0.0%
103% of the 2025 level	1,230	2.163	+1.4%

The finding is the study's headline: permanent loss of the entire shock — the continuation case — moves the discounted-cash-flow value from 2.134 to 2.074, just 2.8% (1.920 under the 15% tax framing). The arithmetic reason is the pass-through: about 76% of every dirham of consumption revenue leaves again as electricity and water purchased from DEWA, so the meter's contribution to cash flow is thin. The market's read-through from the consumption miss to the equity — a share price 23% off its high — is larger than the cash-flow arithmetic supports. The capacity charge, not the meter, carries the value; what WOULD move the value is a tariff cut or a stall in connections, which is why sections 5 and 7 watch those, not the weather.

1.8 Macro and country — rates, the peg, and the sourced cost of capital

The macro frame is unusually clean for an emerging-market study: the dirham is hard-pegged, so the UAE imports the Federal Reserve's path and the currency leg drops out of the valuation entirely. The central bank's base rate stood at 3.65% at the end of July 2026. The federal government's dirham bond programme gives a sovereign curve; the anchor here is its most RECENT print — the January-2031 tranche tapped on 30 July 2026, a 4.50-year tenor yielding 4.48%. A LONGER instrument exists and is named rather than ignored: a February-2033 Treasury Sukuk (the first seven-year dirham tranche, AED 1,650mn outstanding, ISIN AED01889C262), whose last auction print was 4.13% in the April tap — struck before the July escalation and therefore stale in a repriced market, which is why the on-the-run 4.48% remains the anchor; both are stated. The conflict is the macro event: the market index fell 21.9% peak to trough, the 2026 GDP projection was cut from 5.6% to 1.7% (with a 9.8% rebound projected for 2027 — the same forecast carries both legs), and the equity risk pricing that survives into August is part of what section 1.3 measures.

Component	Credit-rating basis	Market-spread basis	Construction
Risk-free rate before adjustment	4.48%	4.48%	the most recent AED sovereign print (4.50-year tenor; the gap to the five-year-plus cash-flow horizon is flagged as a limitation, and the stale February-2033 print is named above)
Less the sovereign default spread	0.39%	0.52%	the UAE's own default spread on each basis, from the July-2026 edition of the published country-risk dataset; the market-spread column uses the Abu Dhabi sovereign credit-default swap as the quoted UAE proxy — flagged
Adjusted risk-free rate	4.09%	3.96%	country risk must enter once, through the equity premium — not twice
Beta	0.863	0.863	own-stock weekly regression against the FTSE ADX General Index — adopted as the UAE market index for this study by instruction; the same regression against the listing exchange's own DFM index gives 0.652 and is priced as a full parallel construction below — over the full listing window (3.7 years, n=189): R ² 0.103, standard

			error 0.186, 90% interval 0.56–1.17
Equity risk premium	4.81%	5.01%	the UAE total premium on each basis, same dataset — the same basis of spread that was stripped from the risk-free rate is the one added back here
Cost of equity	8.24%	8.28%	the two constructions CONVERGE to within a few basis points — the contested choice of basis is priced and turns out to cost nothing
Cost of debt (anchor)	4.92%	4.92%	the company's own disclosed all-in borrowing cost — the accounting capitalisation rate on general borrowings, an AVERAGE rather than a marginal print — kept as the anchor because it sits at the top of the EIBOR-plus-implied-margin band; see the evidence table below
Weights (equity / debt)	84.0% / 16.0%	84.0% / 16.0%	market value of equity at the anchor price; net debt at the reviewed June-2026 balance sheet — the target-structure choice is itself priced as alternative constructions in the table further below
Cost of capital at 9% tax	7.64%	7.67%	the rate the recovery and continuation cases discount at
Cost of capital at 15% tax	7.64%	7.67%	IDENTICAL to the 9% row: the minimum top-up tax is a minimum-effective-rate charge, not a higher statutory rate, so the 9% interest shield survives and both framings discount at 7.64% — stated so the reader is not left inferring it

No glide path is applied to the cost of debt or the cost of capital: both revolving tranches float over EIBOR, the 2025 refinance already reset the margin, and the forward curve is flat to mildly higher — a glide would be invented, not sourced (the three-month EIBOR itself has drifted from 3.66% at end-March to about 3.9% in August, which the evidence table carries). The explicit-window rate equals the terminal rate, stated openly.

The cost of debt — three pieces of evidence, not an assumption

Evidence	Rate	What it establishes
AED sovereign yield (January-2031 tranche, auctioned 30 July 2026)	4.48%	the floor: a same-currency corporate cannot sustainably borrow below its sovereign
Empower's own disclosed all-in borrowing cost, 2025 (the accounting capitalisation rate on general borrowings)	4.92%	an AVERAGE across the book rather than a marginal print — the label matters and is stated. It sits 44bp above the sovereign, as it must, and at the TOP of the band implied by EIBOR plus the undisclosed margin, which is why it is kept as the (conservative) anchor
The same disclosure a year earlier (2024)	5.99%	the down-trajectory: the 2025 refinance cut the all-in cost by about 107bp as EIBOR fell and the margin was renegotiated. Three-month EIBOR stood near 3.9% in August 2026 (3.66% at end-March); the exact contractual margin is not disclosed in any filing (recorded as a documented absence in the bibliography), so the capitalisation rate is the closest disclosed all-in figure

One dated sensitivity belongs beside the anchor: only one of the two AED 2.75bn revolving tranches has been extended (to February 2028); the other still matures September 2027, so roughly half the debt book reprices at whatever EIBOR and margin the market offers then. Each 25 basis points on half the book is about AED 6.9mn of annual interest — visible in the coverage table of Appendix C.2, immaterial to the firm-level valuation, and stated so the reader knows where the roll risk sits.

The cost-of-capital constructions — all priced, none hidden

The single largest disagreements a competent reader can have with this study are constructions of the discount rate, not scenarios. Each is therefore computed as a full parallel valuation on the recovery case rather than argued away:

Construction	Cost of	Fair value at	The argument, and why the base stays where it is
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	capital	9%	
Target net-debt weights (the published base)	7.64%	2.134	the company's own net-debt policy runs ~1.8× EBITDA and the payout absorbs essentially all free cash flow to equity, so surplus cash is transient — the forward-looking structure is net
Gross-debt weights	7.26%	2.287	weight the debt actually financed at the cost of debt; treats the cash pile as a separate asset rather than an offset
Net debt at its negative carry	7.81%	2.069	charge the cash pile its yield give-up (net-debt cost 5.56%): cash earning deposit rates against debt costing 4.92% is negative carry, priced instead of ignored
Listing-exchange index beta	6.78%	2.515	the same weekly regression against the DFM General Index gives a beta of 0.652 and a cost of equity of 7.22%; the published base uses the FTSE ADX General Index by explicit client instruction, and that choice is priced here in full, not parenthetically

The published scenario field (1.463–2.172) is bounded by SCENARIOS; these CONSTRUCTIONS alone span 2.069 to 2.515 on the identical cash flows — construction risk is additional to scenario risk, and of comparable size. The beta's own 90% sampling interval (0.56–1.17) maps to roughly 1.71–2.68 per share on the primary lens via the section 1.9 grid. A reader should treat the printed field as scenario risk and carry construction risk on top of it.

Every contested construction in this section is PRICED rather than asserted: the two premium bases are both computed (they converge); the tax question is carried as two full columns everywhere; the short sovereign tenor and the Abu Dhabi credit-default-swap proxy are flagged in place; the weighting and beta-index choices are full parallel valuations above; and the beta's sampling error is shown so a reader can re-run the cost of equity at either end of the interval (0.56 lifts the fair value, 1.17 lowers it — the direction is worth roughly AED 0.191 per share per half-point of discount rate, per the grid in section 1.9).

1.9 Sensitivity — the discount rate, the growth, and the scenarios

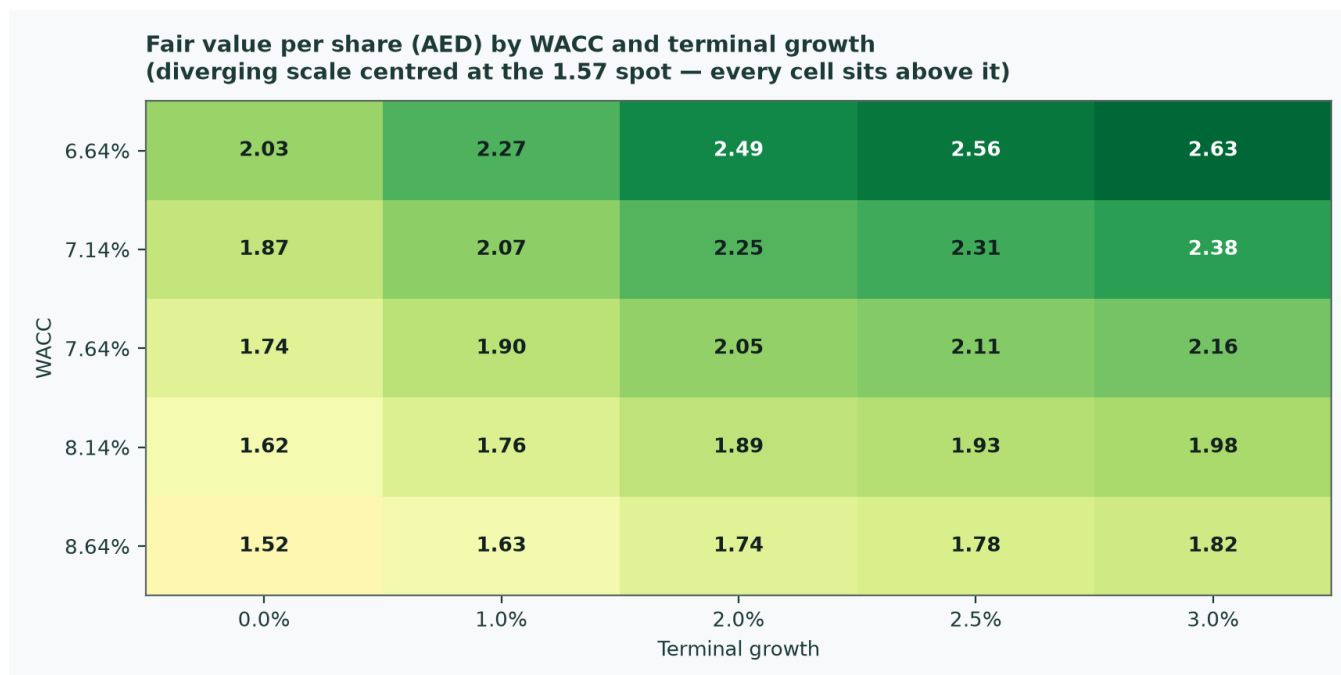


Figure 4 — fair value per share against cost of capital and terminal growth; the crux grid alongside.

Fair value at 9% (AED/share)	g = 0.0%	g = 1.0%	g = 2.0%	g = 2.5%	g = 3.0%
Cost of capital 6.64%	2.028	2.269	2.491	2.561	2.634

Cost of capital 7.14%	1.873	2.071	2.254	2.313	2.376
Cost of capital 7.64% (base)	1.739	1.903	2.055	2.107	2.160
Cost of capital 8.14%	1.620	1.759	1.886	1.931	1.978
Cost of capital 8.64%	1.516	1.633	1.741	1.781	1.821

The base cell (2.107) sits at 7.64% and 2.5%. A half-point of discount rate is worth roughly AED 0.191 per share — more than the entire consumption crux — which is the honest hierarchy of what matters in this valuation: rate, tax, tariff, then usage. The growth axis now extends to ZERO so the reader can see the flat-everything endpoint: no volume growth at all, forever, is worth 1.739 at the base rate.

Two words on the growth assumption itself, because the first edition mislabelled it. The 2.5% stage-one rate is NOT a nominal-GDP-consistent figure — UAE nominal GDP compounds at roughly 5.7% a year on the current five-year outlook, and 2.5% is about half of it (the error ran in the conservative direction). It is a VOLUME-ONLY bound under the regulator's no-indexation rule: the Dubai 2040 build-out, the contracted backlog and a signing run-rate of 163-186 new contracts a year support it for the ten-year second stage, after which the perpetuity drops to 1.5% (long-run densification, zero real tariff growth). The tension is stated rather than hidden: 2.5% volume growth forever would double the connected base roughly every 28 years, which is why it is NOT extended into the perpetuity and why the grid above prices every stop down to zero.

Both rates are now stated as REAL rates and the headline figures derived from them, which on this company is a change of description rather than of assumption and is worth a sentence for that reason. Because the tariff is regulated and NOT indexed, nominal revenue growth IS volume growth here, so 2.5% on the 2.0% long-run inflation this economy is expected to run is 0.49% in real terms, and the perpetuity's 1.5% is -0.49% — a real DECLINE. Nothing about the forecast moves; what moves is that a reader can see the second stage assumes this business shrinks slowly in real terms for ever, which the phrase 'zero real tariff growth' describes without naming.

What the terminal charges for is capital MAINTENANCE, at what replacement actually costs, and the asset life it rests on is DERIVED rather than chosen. The accounting policy gives ranges by class — plant, equipment and machinery 2 to 30 years, buildings 25, intangibles 30 — and no weighting, so no single figure can be read off it. The depreciation notes' own two columns supply one: the gross cost of everything that depreciates, over the year's own charge, is 28.10 years, and the prior year's columns give 27.88 on the same identity. Against that, the construction this edition replaces charged as though the whole plant were rebuilt every fifty years in stage one and every sixty-seven in stage two — which are facts about the dirham's peg to the dollar rather than about a chilled-water plant. Terminal free cash flow is AED 1,409mn in the first year of stage one, 92.4% of profit.

Scenario	What is assumed	Fair value (AED/share)
Bear — war re-escalation	usage falls a further 6% in 2027 and never recovers; new connections halve (the pipeline freezes); the 15% minimum tax lands; the cost of equity rises 100bp as the market re-prices UAE risk	1.463
Continuation — the world as it stood at the anchor	the consumption shock never unwinds; guidance-midpoint connections continue (they grew through the war half); both tax framings published	1.82 / 1.71
Recovery (de-escalation)	usage recovers through 2027 — requires a de-escalation that had not occurred at the anchor date; guidance-midpoint connections; both tax framings published	1.85 / 1.74
Bull — full recovery	usage recovers fully; connections follow the top-of-guidance path (110/110/100/90/80k RT over the five years); 9% tax	2.172

The bear and bull are full model re-runs — unit paths, cost stack, discount rate and tax all moved together — not lens blends or grid look-ups. The middle two rows are the study's two published centrals: NEITHER is called the base, because the fact dividing them had not resolved at the anchor date.

2 Technical and price structure

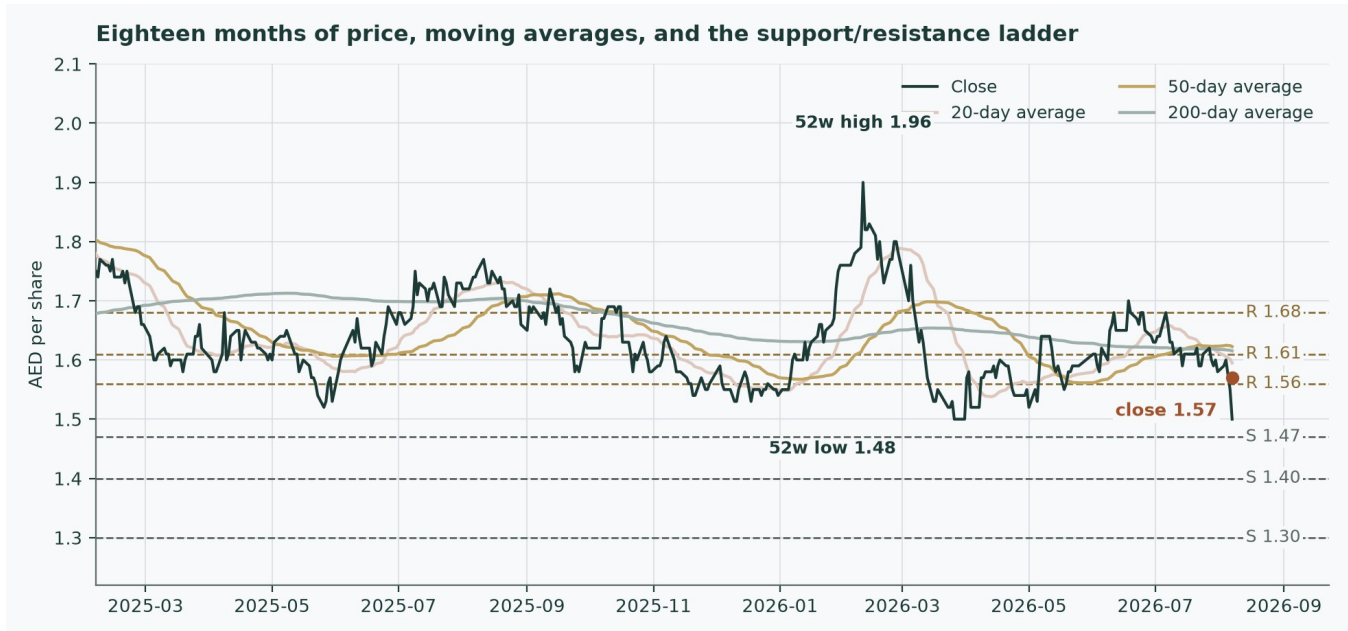


Figure 5 — price against the 20-, 50- and 200-session moving averages, with the support and resistance ladder.

Marker	Level (AED)	Reading
Last close (7 August 2026)	1.50	the anchor for everything in this study
20-session average	1.60	price is -1.6% against it; the average is falling
50-session average	1.62	price is -3.2% against it; flat
200-session average	1.62	price is -2.8% against it; flat
Momentum (14-session RSI)	29	washed out — a reading under 30 marks the sell-off as stretched by its own recent standards
MACD (12·26·9)	-0.020	negative and still falling — the down-move has not yet lost momentum
Average true range (14-session)	2.3%	of price per session — a normal tape, not a dislocated one
52-week range	1.48 - 1.96	the close sits 23% below the high and 1% above the low
Resistance	1.56 / 1.61 / 1.68	nearest first, from recency-weighted swing clusters
Support	1.47 / 1.40 / 1.30	nearest first; the second and third are round-number shelves

The price closed 1.50 below a falling 20-day (1.60), a flat 50-day (1.62) and a flat 200-day (1.62). Momentum is washed out: RSI(14) is ~29 and the daily ATR near 0.03 (~2.3%) points to a normal tape. MACD (12·26·9) is negative and still falling (–0.02 / –0.01 / –0.01). The 50-day crossed above the 200-day 16 sessions ago — a fresh golden-cross, a momentum-regime change rather than noise inside an intact trend. Over the last year it has ranged 1.48–1.96; the last close sits 23% below that high and 1% above that low.

One configuration deserves its own sentence: the 50-session average crossed ABOVE the 200-session 16 sessions ago — a golden cross, conventionally a regime-change signal — and it sits oddly against a price that has since sold off below the whole stack. The cross reflects the spring recovery from the war trough; the sell-off is the August earnings reaction. When a trend signal and the tape disagree this directly, the tape is the fresher fact. A daily close back above

1.56 would clear the nearest resistance and open the 1.68 zone. A close below 1.47 would break the nearest support and open the 1.30 zone.

3 A probabilistic price map

This section answers a different question from the valuation: not what the business is worth, but where the share price could plausibly trade in one and three months given how this share actually moves. Fifty thousand price paths are simulated from a volatility model fitted to the daily trading range, with a fat-tailed shock distribution and a drift anchored to the cost of carry — the local deposit rate less the 5.8% dividend yield, which is why the median path sits a shade below spot. It carries no directional view, and it is never blended with the fair-value work above.

The evidence behind the band widths is stated plainly, at its actual strength. The bands are set on the UAE market panel (18 names, walk-forward tested with each forecast made using only data available before it); the panel's forecast accuracy is statistically indistinguishable from — marginally ahead of — a benchmark random walk anchored on the same cost of carry. For Empower itself only 10 non-overlapping three-month windows exist since the late-2022 listing — a record too short to establish forecasting skill either way, and it is presented as such. On those 10 windows every realised outcome fell inside the 80% band — 10 of 10, where 8 would be expected — which is itself evidence the bands are drawn too WIDE, not proof they are right. The centring is clean (the average percentile of the realised outcomes was 0.46, statistically uniform on the standard tests), and the bands run about 28% wider than this stock's own short history would warrant — a width that cost a few percent of average sharpness against the benchmark on those same windows, the price of never missing. A reader should treat the intervals as honest but wide.

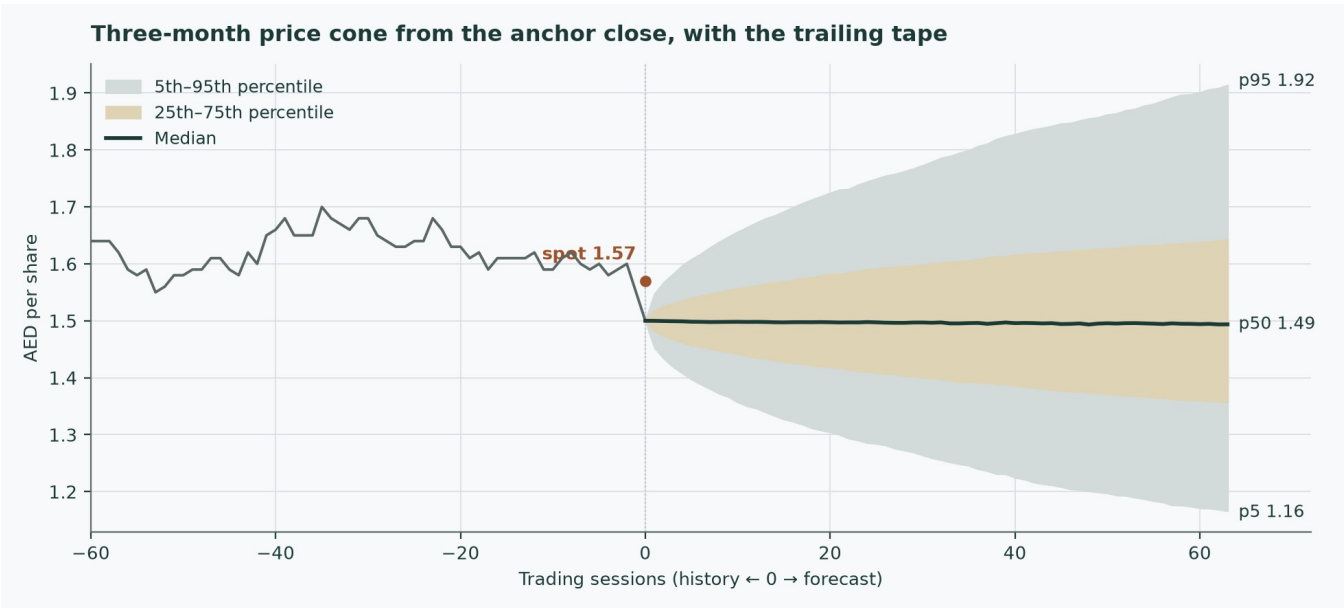


Figure 6 — the forward price cone to three months from the anchor close of 1.57, with the trailing tape behind it. All four published centrals — recovery 1.85 / 1.74 and continuation 1.82 / 1.71 by tax framing — sit INSIDE the three-month cone, below its 95th percentile of 1.92 (the span 1.71-1.85 falls inside the cone, between the 75th and 95th percentiles). The valuation and the price map OVERLAP: the market could reach any of the centrals within a quarter without leaving the cone's ordinary range, so the two objects no longer disagree — the question is direction, on which the price map deliberately has no view.

Percentile map (AED/share)

Horizon	5th	25th	Median	75th	95th	Probability above spot
1 month (to 2026-09-07)	1.31	1.42	1.50	1.58	1.71	49%

3 months (to 2026-11-09)	1.16	1.36	1.49	1.64	1.92	49%
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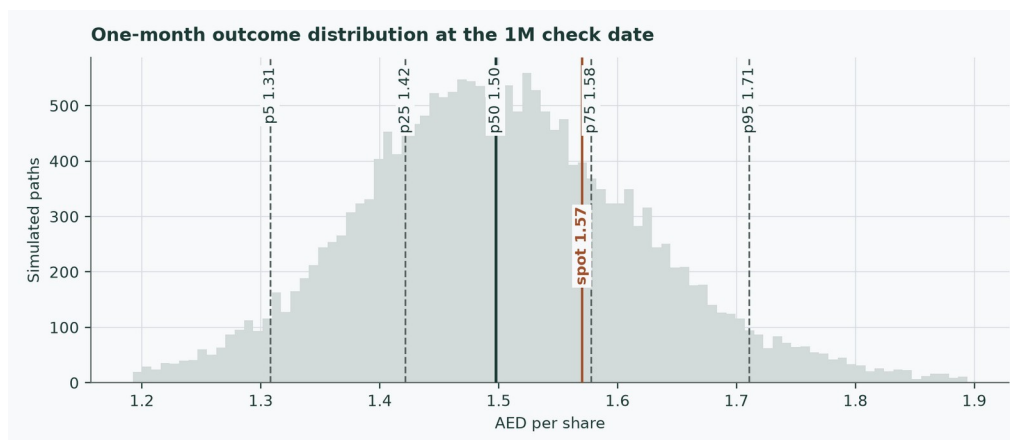


Figure 7 — the one-month price distribution.

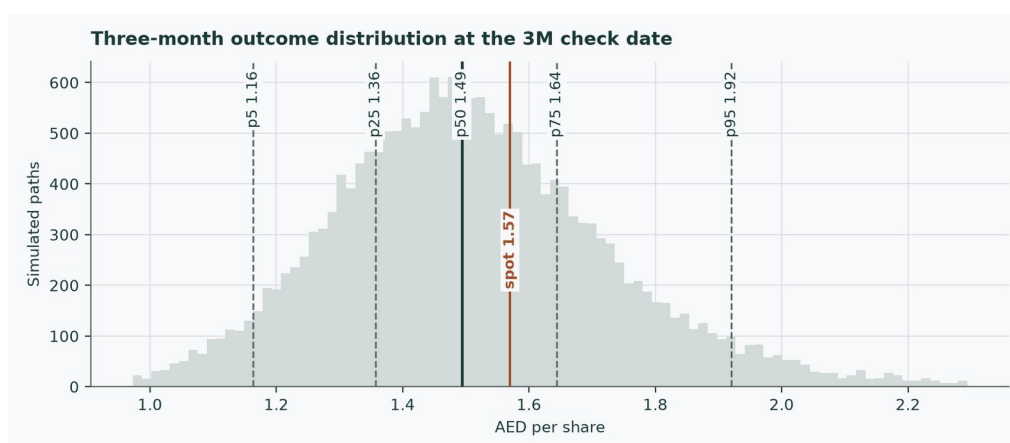


Figure 8 — the three-month price distribution.

Level-touch ladder

Event	1 month	3 months
Finishes 10% or more above spot	11%	24%
Finishes 10% or more below spot	10%	24%
Touches 10% above spot at any point	18%	45%
Touches 10% below spot at any point	16%	43%

Touch probabilities exceed finish probabilities because a path can visit a level and come back. The anchor volatility is about 32% annualised — elevated for a regulated utility, which is itself a statement about the conflict regime the share is trading in.

4 Comparison of the lenses

Read	What it says	What it assumes
Cash flow (primary)	AED 2.134 / 1.976 by tax framing, +36% / +26% against the market	the tariff stays flat but is not cut; the contracted backlog connects; the crux recovers (and barely matters if it does not — the continuation model is 2.074 / 1.920)
Weighted central — recovery	AED 1.85 / 1.74, +18% / +11%	a de-escalation that had not occurred at the anchor date; a fifth of the weight deliberately given to today's war-discounted market regime through the relative lens

Weighted central — continuation	AED 1.82 / 1.71, +16% / +9%	the world as it stood on the published facts at the anchor; same weights
Relative multiples	AED 1.444, -8%	the current GCC utility pricing regime is the right regime to capitalise
The market	1.57	revealed preference of the marginal seller in a conflict summer, after a weak volume quarter
DEWA control purchase (reference)	AED 2.16, +38% above spot	what the controlling shareholder paid a related party for control economics in February — bounds the question from above, proves nothing about minority value
Three-month price map	median 1.49, 49% chance of finishing above spot	volatility persists as it has; no view on value

The reading we take from this: the market is pricing the consumption shock as if it were a structural impairment of the profit pool, and the cash-flow arithmetic says it is not — the pool sits in the contracted capacity charge, which grew through the war half. Even the continuation case, which concedes the whole usage shock forever, sits well above the market price. The genuine open questions are the ones the market prices less visibly: whether the 15% minimum tax reaches the company (0.158 per share, published as its own column), and whether the next approved tariff schedule stays flat (not priced — flagged as the model's single most valuable assumption). Between the 1.71 continuation central under the harsher tax framing and the 1.57 market price lies the war discount itself; a reader who expects the conflict regime to persist should weight the relative lens harder, and the field published here lets them. All four published centrals — recovery 1.85 / 1.74 and continuation 1.82 / 1.71 by tax framing — sit INSIDE the three-month cone, below its 95th percentile of 1.92 (the span 1.71–1.85 falls inside the cone, between the 75th and 95th percentiles). The valuation and the price map OVERLAP: the market could reach any of the centrals within a quarter without leaving the cone's ordinary range, so the two objects no longer disagree — the question is direction, on which the price map deliberately has no view.

No rating is expressed here or anywhere else in this document, and no single-number target: the output is a set of ranges, two published centrals and a distribution — with the construction range of section 1.8 stated beside them.

5 Catalysts to watch

Catalyst	Why it matters	What to watch
The conflict tempo and the strait	the ceasefire was declared over on 8 July and the Strait of Hormuz stood closed at the anchor — "truce durability" is no longer the question. The demand shock transmits through hospitality occupancy; attacks reaching UAE soil are the bear case, a reopened strait is the de-escalation the recovery case requires	the tempo of attacks on shipping and on UAE soil (none on soil since 8 July; tankers hit 8, 12 and 14 August); the Iran-Oman reopening track announced 17 August — implementation, not announcement, is the event
Third-quarter 2026 results (November)	the first FULL summer quarter carrying the consumption shock — the highest-usage months of the year	equivalent full-load hours against the 698-hour first-half print; whether capacity revenue keeps growing through it
October dividend instalment	half the committed AED 875mn; the payout is covered almost exactly, so any hesitation is information	confirmation of the instalment and any wording change on the 2027 policy
Minimum-tax clarification	whether DEWA-group consolidation sweeps Empower into the 15% regime — worth AED 0.158 per share on the primary lens, published here as its own column	Ministry of Finance guidance on domestic minimum top-up tax scope for government-group entities; the tax note of the 2026 annual filing
Connection pace	the volume driver: guidance is 100–110k RT of 2026 connections against a 311k RT contracted backlog	connected and contracted capacity in each results deck; the fifth Business Bay plant award moving to construction

The next tariff decision	the flat regulated tariff is the single most valuable assumption in the model; a cap cut at review would do what no consumption shock can. The current instrument already caps the rate Empower charges at essentially its achieved level and bars indexation of capacity charges	decisions of the Dubai Supreme Council of Energy — the body that APPROVES tariffs — with Regulatory and Supervisory Bureau consultations and tariff-instrument revisions as the leading indicator
DEWA's intentions at 80%	further buy-in or squeeze-out speculation is NOT modelled; what is real today is a thinner float, index-weight mechanics and reduced liquidity	any disclosure of stake changes; index-provider treatment of the reduced float

6 Reading the probability zones

The three-month distribution has a median of 1.49 and a 5th-to-95th span of 1.16 to 1.92. Read the span honestly: the model considers a -26% move and a +22% move equally unremarkable tail outcomes over a single quarter of a conflict-regime tape.

Zone	Three-month range (AED)	How to read it
Lower tail	below 1.16	a 1-in-20 outcome; would need a genuine shock — re-escalation onto UAE soil, a tariff-review surprise, or a dividend wobble
Lower half of the central band	1.36 – 1.49	ordinary drift lower; the market continuing to price the war regime
Upper half of the central band	1.49 – 1.64	ordinary drift higher; a quiet summer and the October instalment arriving on schedule
Upper tail	above 1.92	a 1-in-20 outcome; would need visible de-escalation or a re-rating of the sector
Where the fundamental centrals sit	1.71 – 1.85	All four published centrals — recovery 1.85 / 1.74 and continuation 1.82 / 1.71 by tax framing — sit INSIDE the three-month cone, below its 95th percentile of 1.92 (the span 1.71–1.85 falls inside the cone, between the 75th and 95th percentiles). The valuation and the price map OVERLAP: the market could reach any of the centrals within a quarter without leaving the cone's ordinary range, so the two objects no longer disagree — the question is direction, on which the price map deliberately has no view.

7 Caveats and what would change our mind

- **Consumption failing to recover in the 2027 prints.** The recovery case restores usage per connected ton to the 2025 level through 2027 — and it requires a de-escalation that had not occurred at the anchor date, which is why the continuation case is published beside it as an equal, not beneath it as a sensitivity. The full continuation model costs only 2.8% on the primary lens, so this is a watch-item rather than a value risk — but two consecutive halves with equivalent full-load hours below the 2026 trough would put the shock outside anything hospitality-linked, and the recovery case should then be abandoned, not stretched.
- **The minimum tax being confirmed.** If the 15% domestic minimum top-up tax is confirmed to reach Empower through DEWA-group consolidation, shift weight to the 15% column published throughout — the work is already done; nothing needs re-estimating.
- **War re-escalation onto UAE soil.** The bear machinery is explicit: usage down a further 6% and never recovering, connections halved, the harsher tax, and 100bp on the cost of equity — AED 1.463 per share. A reader can adopt it wholesale rather than improvising a discount.

- **A tariff-cap cut at a regulatory review.** The flat regulated tariff is the single most valuable assumption in the model — it underwrites the capacity charge that carries 78.3% of the enterprise value into the terminal. The current tariff instrument hardens the flat assumption (indexation of capacity charges is barred, and the achieved rate already sits at the cap) while confirming there is no escalation upside either. No cap cut has occurred in the record examined here, but the model contains no machinery for one, deliberately: it would be a regime change, to be re-modelled, not sensitised.
- **Construction limitations, stated.** The sovereign anchor is a 4.50-year bond against five-plus years of cash flows (the most recent AED print; the longer February-2033 sukuk's last print predates the July repricing); the index series behind the beta regression is an aggregator pull with roughly a fifth of sessions missing, absorbed by weekly sampling and flagged in the bibliography; and the first-half revenue-mix percentages (40/49/11) come from the investor deck, not the audited notes — the audited statements disclose only the consumption figure, in the auditor's key-audit-matter section, 56.3% of 2025 revenue on that basis (the deck's first-half mix and the audited full-year share differ because the second half carries the summer peak).
- **Related-party concentration.** The 80% owner is also the sole supplier of the largest cost line and the counterparty of the 2026 control transaction. Tariff bargaining, input pricing and any future buy-in all run through one related party. This is a governance fact, not an allegation, and it is one reason the relative lens and the scenario field are published alongside the model rather than folded into it.
- **What would change our mind, specifically.** Upward: visible de-escalation; the minimum-tax question resolving at 9%; connections printing at or above the top of guidance. Downward: a tariff-review consultation proposing cuts; equivalent full-load hours below the 2026 trough for two consecutive halves; the dividend reset below the committed AED 875mn.

Appendix A Financial statements

A.1 Income statement — three years audited and five years forecast (consolidated, AED mn)

AED mn	FY2023	FY2024	FY2025	FY26	FY27	FY28	FY29	FY30
Revenue	3,035	3,260	3,419	3,503	3,842	4,042	4,222	4,380
Interest income on the related-party acquisition receivables (excluded from the operating build; the asset sits in the bridge at book)	39	59	58	57	55	53	52	50
Cost of sales	(1,741)	(1,917)	(1,989)	—	—	—	—	—
Gross profit	1,333	1,402	1,488	—	—	—	—	—
General and administrative expenses	(220)	(235)	(256)	—	—	—	—	—
Operating profit	1,120	1,192	1,273	—	—	—	—	—
EBITDA (history: audited-derived, operating profit + D&A; forecast: operating EBITDA — see note)	1,468	1,552	1,642	1,628	1,769	1,873	1,964	2,042
EBITDA margin (same bases)	48.4%	47.6%	48.0%	46.5%	46.1%	46.3%	46.5%	46.6%
Depreciation and amortisation	(348)	(359)	(370)	(380)	(390)	(399)	(405)	(408)
EBIT (forecast basis)	—	—	—	1,248	1,379	1,473	1,558	1,634
NOPAT at 9% / at 15%	—	—	—	1,135 / 1,061	1,255 / 1,172	1,341 / 1,252	1,418 / 1,325	1,487 / 1,389

Profit before tax	943	998	1,103	—	—	—	—	—
Income tax (credit) / expense	17	(90)	(99)	—	—	—	—	—
Profit for the year	960	908	1,004	—	—	—	—	—
Attributable to shareholders	953	897	993	—	—	—	—	—
Earnings per share (AED, derived)	0.095	0.090	0.099	—	—	—	—	—

Every FY2023-25 line is taken directly from the company's audited consolidated statements (the interest income on the related-party acquisition receivables is presented INSIDE gross profit by the company, and the same presentation is kept here). Historical EBITDA is a house derivation — operating profit plus depreciation and amortisation — labelled as such; the audited statements contain no EBITDA line. The FORECAST rows are on the stricter operating basis, which excludes the receivable interest and rental income (2025 on that basis: 1,549.7 — the exact identity is in section 1.6), because those returns belong to assets the bridge adds at book. The 2023 tax line is a CREDIT (first recognition of deferred tax assets ahead of UAE corporate tax). Forecast financing, tax and attributable lines are shown only where the model constructs them; the free-cash-flow waterfall in section 1.1 is a pre-financing measure by construction.

A.2 Balance sheet — condensed house layout (consolidated, AED mn)

AED mn	FY2023	FY2024	FY2025	30-Jun-2026
Property, plant and equipment	6,935	6,995	7,195	7,275
Intangible assets	340	328	316	310
Related-party acquisition receivables (amortised cost, current + non-current)	1,344	1,325	1,305	1,294
Investment properties	86	118	171	169
Inventories	44	54	56	57
Trade and other receivables	319	275	304	434
Term deposits	28	30	58	40
Cash and cash equivalents	539	1,937	2,256	2,472
Right-of-use, deferred tax, other financial assets and due from related parties	95	121	158	216
Total assets	9,728	11,183	11,817	12,267
Bank borrowings (current + non-current)	4,492	5,498	5,503	5,503
Lease liabilities	4	6	2	1
Trade and other payables	1,403	1,678	2,165	2,459
Retentions, deferred government grant, end-of-service benefits and due to related parties	517	628	649	777
Total liabilities	6,417	7,810	8,320	8,739
Equity attributable to shareholders	3,144	3,198	3,311	3,338
Non-controlling interests	167	176	186	191
Total equity	3,311	3,373	3,497	3,528
Net debt (borrowings + leases — cash — deposits)	3,930	3,537	3,192	2,991

FY2023, FY2024 and FY2025 are audited; the June-2026 column is the reviewed interim. The receivables row carries the FULL carrying value — current and non-current portions summed — in every column, amortising from 1,344 at FY2023 to 1,294 at June 2026. The net-debt row reproduces the company's own presented figure at 30 June 2026 (2,991mn) exactly. The 2023 step-up in borrowings funded the airport-concession acquisition; the 2024-25 rise in cash is retained operating cash ahead of the October dividend instalments.

A.3 Forecast balance-sheet and cash-flow markers

AED mn	FY26	FY27	FY28	FY29	FY30
Property, plant and equipment	7,404	7,579	7,698	7,763	7,777

Net working capital (negative = funded by customers/payables)	(1,800)	(1,974)	(2,077)	(2,169)	(2,250)
Working capital released in the year	43	174	103	92	81
Capital expenditure	(571)	(548)	(501)	(453)	(404)
Depreciation and amortisation	380	390	399	405	408
Free cash flow to the firm at 9%	987	1,271	1,342	1,463	1,572
Free cash flow to the firm at 15%	912	1,188	1,254	1,369	1,474
Dividends (committed policy held flat)	875	875	875	875	875

Two features to read carefully. Net working capital is negative and grows more negative with revenue — customer deposits and payables to the related-party supplier fund the cycle, so each year RELEASES cash into the free-cash-flow line. And free cash flow to equity — the firm figure less roughly AED 100mn of after-tax net finance cost on the model's own forecast finance line — runs almost exactly at the AED 875mn payout in the shock year: the dividend is covered, with the growth funded by the working-capital release and the revolving facilities' headroom. The debt convention is stated precisely: GROSS borrowings are held flat by construction, while NET debt falls as retained cash builds — the model neither assumes deleveraging credit nor new debt-funded expansion. Both the equity roll and the net-debt roll start from the same 30 June 2026 reviewed balance sheet, on the same clock as the valuation bridge.

Appendix B Peer frame, risk register — and the research register

B.1 Peers and the sector frame

Measure	Empower	Tabreed	DEWA (parent)
What it is	Dubai district cooling, about 80% of the emirate	UAE-wide and regional district cooling; the only listed pure peer	the Dubai power and water monopoly; consolidates Empower
2025 revenue (AED mn)	3,419	2,456	—
2025 EBITDA margin	48.0%	51.7%	—
Net debt / EBITDA	1.8×	4.6×	—
Trailing enterprise value / EBITDA	11.8×	10.1×	—
Trailing price / earnings	15.8×	15.0×	16.8×
Dividend yield	5.6%	4.8%	4.4-5.0%
Source and date	this study, audited statements and the 7-Aug-2026 close	FY2025 results as reported via exchange disclosures; market value RESTRUCK at the 2.46 close of 6/7-Aug-2026 (the 22-Jun data-provider mark of 2.72 is superseded); multiples derived and flagged as derived	market data as of early Aug-2026; secondary marker only — the parent consolidates the subject

Emicool, the third Dubai operator, is private (a Dubai Investments / Actis joint venture) and provides no usable multiple; no listed peer exists for the airport-concession leg. The leverage gap is the reason the peer comparison is made at the enterprise line: Tabreed carries several turns more net debt, so raw price/earnings comparisons flatter the wrong name.

B.2 Risk register

Risk	Mechanism	Where it is priced
Tariff review	the Supreme Council of Energy approves tariffs on the bureau's recommendation; a cap cut would reprice the capacity charge — the profit pool itself. The current instrument bars indexation of capacity charges, so the upside direction is already closed by rule	the downside is NOT priced — flagged as the model's single most valuable assumption (sections 1.7 and 7); a cut is a regime change requiring a re-model. The no-escalation side IS priced: the build holds the tariff flat everywhere and terminal growth is volume-only
War continuation / re-escalation	hospitality occupancy → consumption; risk premium → discount rate; connection pipeline → volumes	the continuation case is one of the two published centrals (1.82 / 1.71); the bear scenario, AED 1.463 per share, is a full re-run with all four channels moved together
Minimum top-up tax	consolidation into the DEWA group could lift the rate from 9% to 15%	published as a full second column everywhere: 0.158 per share on the primary lens
Consumption persistence	usage per connected ton stays at the shocked level	a full alternative model: 2.8% on the primary lens — small, because of the pass-through (section 1.7)
Related-party concentration	the controlling shareholder is also the sole input supplier and the tariff counterweight	a governance fact discussed in section 7; one reason the relative lens keeps weight
Float and liquidity	free float near a fifth after the February control purchase; index treatment and exit liquidity are thinner	not separately priced; noted as a reason market-price signals are noisier than usual
Data limitations	a 4.50-year sovereign anchor against longer cash flows; an index series with missing sessions behind the beta; deck-sourced revenue-mix percentages	each flagged in place (section 1.8, section 7) and recorded in the bibliography

B.3 The research register — the sources this study stands on

Research proceeded from the company's own filings outward: audited statements first, then the interim record, the investor-relations material, the regulator, the sovereign data and the market. The main sources, dated, are tabulated below; the companion bibliography document records every input's value, source and date individually, together with the searches that returned nothing.

Source	Type	Date	What was taken
Audited consolidated financial statements, FY2022-FY2025 (PwC, unqualified)	Company filing	2023-Feb-2026	the full income statement, balance sheet and cash-flow record; revenue and cost notes; borrowings and refinancing notes; related-party purchases; the capitalisation rate; consumption revenue via the auditor's key-audit-matter sections
Condensed interim financial statements, Q1-2026 and H1-2026 (limited review)	Company filing	May / Aug 2026	the study-year actuals: quarterly revenue, profit, the June-2026 balance sheet, and the note tying the consumption fall partly to conflict-hit hospitality occupancy
H1-2026 earnings presentation	Company investor relations	5-Aug-2026	connected and contracted capacity, connection guidance, equivalent full-load hours, the revenue mix, net debt as presented, and the dividend commitment
Dubai Executive Council Resolution 6/2021 (the district-cooling law)	Regulator	2021	the tariff-regulation frame: the bureau assesses and recommends, the Supreme Council of Energy approves
Regulatory and Supervisory Bureau tariff instrument, version 1.3 (17-Sep-2025) and version 1.4 (6-Feb-2026) — primary documents, read in full	Regulator	Sep-2025 / Feb-2026	the explicit tariff caps (0.643 AED/ton-hour consumption-with-capacity including fuel surcharge; 0.075 fuel surcharge; AED 30/month billing fee; 120% excess-demand cap) and the verbatim no-indexation rule for capacity charges — added in the 17-Aug revision after the external audit showed the

			first edition had missed both instruments
Dubai Executive Council Resolution 87/2025 (18-Nov-2025) — primary document	Regulator	Nov-2025	the AED 1.55/refrigeration-ton annual service fee and the AED 100,000 fine for unapproved tariffs — same revision, same reason
UAE Ministry of Finance dirham T-Bond auction result	Sovereign data	30-Jul-2026	the risk-free anchor
UAE Ministry of Finance outstanding-securities programme table	Sovereign data	read 17-Aug-2026	the full dirham curve, including the February-2033 sukuk (AED 1,650mn, AED01889C262) named in section 1.8 as the longer-but-stale print
Published country-risk dataset (July-2026 edition)	Reference dataset	1-Jul-2026	the UAE default spreads and equity risk premia on both bases
DFM daily price history for EMPOWER (supplied) and the FTSE ADX General Index history (supplied)	Market data	to 7-Aug-2026 (index file to 24-Jul-2026)	the anchor price, volatility, the moving-average structure, the beta regression and the price distributions
Tabreed and DEWA results and market data	Peer disclosures / market data	restruck 6/7-Aug-2026	the relative-multiples lens — cross-check only, never a source for Empower's own numbers; the peer mark is struck on the anchor dates, not the June data-provider pull
Wire and reference coverage of the 2026 conflict, cross-checked against the dated timeline record	Press	to 17-Aug-2026	the macro timeline as stated in the headline — strait closure, ceasefire end, tanker attacks — externally re-verified in the 17-Aug revision after the first edition carried a stale truce reading

Appendix C The expert valuation panel

Three valuation approaches are run against the same disclosed facts by three notional experts, each committed to a different method, each showing every intermediate line, and each required to state in advance what would prove them wrong. They are not asked to agree, and they do not.

C.1 Expert 1 (infrastructure cash flow) — the contracted asset base, discounted

Worldview: a regulated utility with contracted revenue is the one class of business a discounted-cash-flow model prices well — the cash flows are visible, the regulator caps the upside, and the right answer is the present value of the contract stack. When it works: precisely here. When it fails: when the terminal assumptions smuggle in more value than the explicit years justify — which is why every terminal choice below is shown and challenged in C.4.

Step (recovery case, 9% tax, AED mn)	FY26	FY27	FY28	FY29	FY30
Revenue	3,503	3,842	4,042	4,222	4,380
EBITDA	1,628	1,769	1,873	1,964	2,042
EBIT	1,248	1,379	1,473	1,558	1,634
NOPAT	1,135	1,255	1,341	1,418	1,487
Free cash flow to the firm	987	1,271	1,342	1,463	1,572
Present value	476	1,138	1,117	1,131	1,129

Terminal block and bridge	Value
Sum of the five present values (AED mn; 2026 at half weight — the 30-June	4,990

clock)	
Terminal value, two-stage — ten years of final-NOPAT growth at 2.5% (volume-only), then a perpetuity at 1.5%; reinvestment = growth ÷ 26.9% return in each stage	25,030
Present value of the terminal value (AED mn)	17,974
Enterprise value (AED mn)	22,964
Less net debt; plus investment properties and fair-value assets; less minorities (1.1% of profits)	(2,991) / 297 / (228)
Equity attributable (AED mn)	21,335
Fair value per share (AED)	2.134
Range — the consumption-grid endpoints, each carrying half the effect of a ±50bp move in the cost of capital	1.95 – 2.27

Named sensitivity: the consumption-recovery grid of section 1.7 — the full span from continuation (never-recovers) to overshoot is worth AED 0.128 per share, while a half-point of discount rate is worth about AED 0.191. My valuation is a discount-rate argument first and a volume argument barely at all.

Falsifier, stated in advance: two consecutive half-years with equivalent full-load hours below the 2026 trough. That would mean the demand loss is structural, not hospitality-linked, and the recovery leg of my central case should be discarded rather than delayed.

C.2 Expert 2 (income) — the committed dividend, capitalised

Worldview: for a minority shareholder in a company controlled at 80% by its own supplier, the only cash flow that is real is the one that arrives — the dividend. Value the commitment, check its coverage, and treat everything else as the controller's business. When it works: income-controlled utilities exactly like this. When it fails: when the payout is about to change in either direction — a committed dividend is a floor and a ceiling only until it is not.

Step	Value
Committed distribution (AED mn a year, 2025 and 2026)	875
Per share (AED)	0.087
Grown at 2.5% and capitalised at the 8.24% cost of equity	× 1.025 ÷ (8.24% – 2.5%)
Fair value per share (AED)	1.563
Range — growth 2.0% to 3.0%	1.43 – 1.72

Coverage is the whole argument, so here it is, line by line:

AED mn	FY26	FY27	FY28	FY29	FY30
Free cash flow to the firm (9%)	987	1,271	1,342	1,463	1,572
Less after-tax net finance cost (the model's OWN forecast finance line — the June-2026 debt book and cash balance carried forward — not the 2025 actual)	(100)	(100)	(100)	(100)	(100)
Free cash flow to equity	887	1,171	1,243	1,363	1,473
Dividend	875	875	875	875	875
Coverage	1.01×	1.34×	1.42×	1.56×	1.68×

In the shock year coverage is 1.01× — the payout absorbs essentially all the equity cash flow, and the growth is funded by the working-capital release and the revolving facilities' headroom. That is covered, not slack, and it is why my number sits below the cash-flow expert's: I pay for the distribution I can see, not the terminal value I cannot.

Named sensitivity: each half-point of assumed growth is worth roughly AED 0.145 per share across my range — the entire argument is the capitalisation rate against the growth of a committed number.

Falsifier, stated in advance: a dividend reset below the committed level, or a payout financed by facility drawdown for two consecutive periods. Either breaks the premise that the distribution is an economic signal rather than a promise.

C.3 Expert 3 (relative value, the sceptic) — anchor on what is actually paid

Worldview: models are opinions; transactions are facts. Anchor on what the market pays for the same economics today, use the harsher of any contested framing, and treat every model premium over the market as a claim requiring extraordinary evidence. When it works: regimes, like this one, where the marginal price-setter is distressed or absent and model values float free of clearing prices. When it fails: when the anchor set is itself mispriced — a war-discounted peer group imports the war.

Step	Value
Tabreed enterprise value / EBITDA (derived, flagged)	10.1×
× Empower 2026E EBITDA (AED mn)	1,584
Implied enterprise value (AED mn)	15,998
Less net debt; plus side pockets; less minorities — per share (AED)	1.444
Tabreed price/earnings 15.0× on 2026E attributable profit (1,025 AED mn) — per share (AED)	1.537
The February control print — what the controller itself paid a related party	2.16
My tax base: the 15% minimum-tax column, on prudence	1.976 on the cash-flow model — noted, not adopted
Range — from the market price to the control print	1.57 - 2.16
Central — the earnings-basis read	1.54

Named sensitivity: each turn of the peer earnings multiple is worth AED 0.102 per share. My range's top is not a multiple at all — it is the one disclosed transaction (2.16), and I note that a control price paid between related parties bounds the question from above without proving anything about what a minority share is worth.

Falsifier, stated in advance: a GCC utility re-rating — Tabreed sustained above thirteen times enterprise value to EBITDA — without Empower following. That would show the discount is company-specific rather than regime-wide, and my regime-anchored central should be abandoned.

C.4 Cross-examination

Challenge	From	Response
"78% of your enterprise value is terminal, earning a 27% return on capital forever — at a REGULATED utility. The regulator exists to take that return away."	Expert 3 to Expert 1	Rejected in part, conceded in part. The measured return is inflated by the funding model, not by tariff generosity: customers' deposits and payables hold working capital negative, so the capital base the return is struck on is artificially small — the same tariff on a conventionally funded balance sheet would show an ordinary return, and the regulator prices the tariff, not the ratio. CONCEDED: the tariff-review risk is real, it is the one lever that reaches the capacity charge, and it deserves exactly the bear-case weight it gets.
"You are capitalising a promise. The committed dividend runs to 2026 only, and your coverage table shows it absorbing all the equity cash flow in the	Expert 1 to Expert 2	Partly conceded. The commitment is two years old and covered at one times, not slack. But the counterparty is the 80% owner, which collects four-fifths of every instalment itself and set the policy — the incentive

shock year."		alignment is unusually direct, and the distribution record since listing has only stepped up.
"Your anchors are war prices. You are not measuring Empower; you are measuring March."	Expert 2 to Expert 3	Conceded, and embraced. That is what a relative lens is FOR — it prices the regime the shares must actually be sold into. The mistake would be presenting it as intrinsic; nobody here does. My range top is a real transaction, not a war print.
"All three of you assume the tariff stays flat."	The panel to itself	Accepted as the shared, unpriced assumption — stated in sections 1.7, 5 and 7. A tariff cut would move every method in the same direction at once, which is exactly why it is flagged rather than diversified away.

C.5 The three in one room

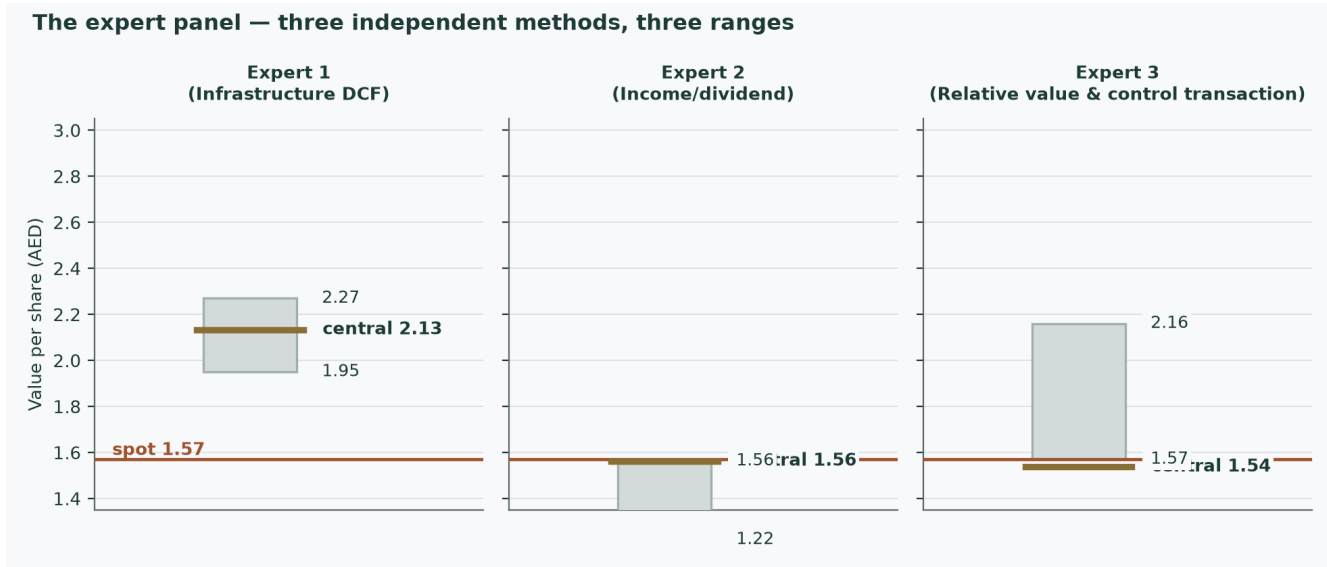


Figure 9 — the three experts' ranges against the market price of 1.57 and the control print of 2.16.

The panel spans AED 1.43 to 2.27 — and the disagreement is orderly, not noisy. Expert 1 discounts the contract stack and lands highest (1.95–2.27); Expert 2 capitalises the committed dividend and lands in the middle (1.43–1.72); Expert 3 anchors on what the war-discounted market actually pays and lands lowest (1.57–2.16, central 1.54). Notice what the room agrees on: every range sits at or above the market price, every method finds the capacity charge rather than the meter carrying the value, and every falsifier is observable within two reporting periods. The study's own weighted centrals (recovery 1.85 / 1.74, continuation 1.82 / 1.71 by tax framing) sit between Expert 1 and Expert 2 — which is what a weighting that gives the market regime a real vote should produce.

C.6 Reading the divergence

Assumption	Expert 1	Expert 2	Expert 3	What it is worth
Tax basis	9% (audited rate)	embedded in the payout	15% on prudence	AED 0.158 per share on the cash-flow model — the gap between the two published columns
Terminal claim	full terminal value (78% of enterprise value)	a perpetuity of the committed dividend only	none — the current multiple regime is assumed permanent	AED 0.596 per share between Expert 1's central and Expert 3's — the largest single gap in the room

Consumption recovery	recovers through 2027; grid shown	not sensitive — the dividend is fixed either way	embedded in the peer prices	AED 0.059 per share even in the continuation case — small by construction (the pass-through)
Risk premium	model-built cost of equity from the sovereign and the published premium	the same 8.24% rate, applied to a committed flow	whatever the market embeds — the war discount is kept, not modelled out	the half-point grid: AED 0.191 per share per 50bp

The instruction to the reader is not to average the three. It is to decide which premise you hold — whether the terminal claim of a regulated monopoly is bankable, whether a committed dividend is a floor, whether today's regime prices are the right anchor — and use the corresponding number. The disagreement is a map of what you need a view on.

About this series

This series publishes independent, educational valuation studies of listed companies. Each study is built from disclosed financial statements and named market data, states its assumptions explicitly, computes every figure in an auditable model rather than in prose, and publishes the ranges its assumptions produce. Studies never carry a rating or a price target. Where a figure is estimated rather than disclosed, it is labelled. Where a source could not be reached or a disclosure does not exist, the gap is recorded in the accompanying bibliography rather than quietly filled in.

This edition was revised on 17 August 2026 after an external audit of the 9 August study. Every one of the 77 findings raised — accepted, rejected or arbitrated — is catalogued with its disposition and its price in the accompanying critique-response note, which ships alongside this document and the bibliography; the material changes are also summarised in the READ FIRST box at the front. Corrections found by this study's own re-check are disclosed there on the same terms as the external findings.

The probabilistic price map in section 3 is produced by a volatility model that is tested by walk-forward simulation against a carry-anchored random-walk benchmark before it is allowed to publish a range. It describes price dispersion and carries no view on value. It is never combined with the fair-value work.

Disclosure & Disclaimer

For information only — not investment advice. This document is educational analysis and is not an offer or a solicitation to buy or sell any security. It contains no recommendation and no rating, and it expresses no single-number price target: the central estimates are printed to two decimals as summaries of ranges, the published field is labelled scenario risk, and the cost-of-capital construction range (2.07–2.52 on the primary lens, with the beta interval mapping to roughly 1.71–2.68) is stated beside it — construction risk is additional to scenario risk. The author holds no position in the security discussed and has no business relationship with the company. Figures are drawn from public sources believed reliable but not independently verified; where figures are derived or estimated this is stated in the text. Valuation is inherently uncertain and depends on assumptions that reasonable analysts will dispute — several such disputes are set out explicitly in this document, and two (the tax framing and the consumption recovery) are published as full alternative computations rather than resolved silently. Past performance and simulated distributions are not guides to future returns. Readers must reach their own conclusions and should consider taking independent advice. No liability is accepted for any loss arising from use of this material.